

Bloomberg Automated Summary

Coca-Cola Co/The Earnings Call

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02/13/24

Guidance

- For 2024, the company expects organic revenue growth of 6-7% and comparable currency neutral earnings per share growth of 8-10%
- Currency headwinds are expected to be a 2-3 point headwind to comparable net revenues and 4-5 point headwind to comparable EPS in 2024
- The company expects to generate approximately \$9.2B in free cash flow in 2024
- Bottler refranchising is expected to create a 4-5 point headwind to comparable net revenues and 2 point headwind to comparable EPS
- The underlying effective tax rate for 2024 is expected to be 19.2%
- Overall, the company expects comparable EPS growth of 4-5% versus \$2.69 in 2023

Margin Story

- Q4 2023 comparable gross margin expanded by approximately 140 basis points, driven by underlying expansion and slight benefit from bottle refranchising, partially offset by currency headwinds
- Q4 2023 comparable operating margin expanded by approximately 40 basis points, driven by strong topline growth but partially offset by currency headwinds and increased marketing investments
- The company has maintained resilient gross margins over the past 4 years and expects continued expansion in 2024
- Key margin drivers in 2023 were pricing actions offset by higher than normal inflation in commodities and non-commodity costs
- For 2024, margin expansion is expected to be driven by:
 - Mechanical effects from bottler refranchising
 - More normalized cost inflation compared to recent years
 - Revenue growth management tools and productivity initiatives

AI Strategy

- The company is using AI along with digital tools and ingredient processing technology to create better innovations in their beverage portfolio

Material Costs

- In 2023, the company faced higher than normal inflation on both commodity and non-commodity costs, which partially offset the benefits from pricing actions
- For 2024, the company expects more normalized cost inflation compared to recent years
- The company manages commodity costs through local sourcing and leveraging their scale for productivity improvements

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Inventory

- In Q4 2023, concentrate sales grew 1 percentage point ahead of unit case volume, driven primarily by an additional day in the quarter

Competition

- The company gained both volume and value market share in 2023
- In the US specifically, Coca-Cola won both volume and value share in 2023, despite some challenges in certain categories like water and advanced hydration
- The company created more incremental retail sales than competitors
- Sprite achieved a notable competitive position with younger consumers

Market Share

- The company delivered value share gains in both Q4 2023 and the full year 2023
- Coca-Cola Zero Sugar gained both volume and value share in 2023
- In Japan, Georgia Coffee gained value share after being relaunched
- In the US market specifically, the company won both volume share and value share in 2023

Capital Allocation

- Buybacks:
The company repurchased additional shares in Q4 2023 beyond dilution offset, anticipating proceeds from bottler refranchising
- The company typically repurchases shares to offset dilution from employee stock options
- Dividends:
The company has an "unwavering priority" to grow dividends, with 61 consecutive years of increases
- Capex:
2024 capex is expected to be \$2.2 billion
- A significant portion of the capex increase is for building capacity for fairlife and India operations
- System-wide capex levels are at historic highs as a percentage of revenue

M&A

- M&A-related payments impacted free cash flow in 2023 by approximately \$230 million
- M&A-related payments are expected to increase significantly in 2024 to approximately \$560 million, up \$330 million from 2023
- When selling bottlers, the proceeds are accounted for separately from the taxes paid, which affects free cash flow reporting

Labor

- The company acknowledged the contributions of their employees in delivering their 2023 results

Macro Environment

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- During Q4 2023, there was strong consumer demand in Australia, India, Latin America, Japan and South Korea, while Africa and China remained uncertain. The Middle East saw shifts in consumer behavior due to tensions.
- Inflationary pressures are moderating or stabilizing across most markets, though some regions still face hyperinflation exceeding 60%.
- In North America and Europe, while inflation is moderating, its cumulative impact continues to pressure certain consumer segments seeking value.
- Latin America saw strong performance despite double-digit inflation, with 4% volume growth and increased household penetration.
- In China, after a strong start to 2023, consumer spending softened in the last three quarters, though management expects gradual improvement through 2024.

Supply Chain

- The company has a resilient supply chain with strong partnerships, sources mostly locally, and drives productivity across supply chain components
- Supply chain costs and inflation are becoming more normalized compared to recent years
- The company is investing in supply chain capacity expansion, particularly for fairlife in upstate New York, due to tight capacity
- Capital expenditure levels across the system are at historic highs as a percentage of system revenue

Pricing

- The company achieved 9% price/mix growth in Q4 2023, though approximately 2 points were related to timing of deductions between quarters, and about 3.5 points came from hyperinflationary markets
- The company is using revenue growth management capabilities to tailor pricing and pack architecture to meet different consumer needs, particularly focusing on affordability options in regions where consumers are cost-conscious
- In North America, the company expanded both affordable and premium options:
 - Affordable 1.25L PET bottles in 80% of supermarkets
 - 16oz can distribution increased in convenience stores
 - Premium mini-can offerings expanded including 15-pack in grocery/club channels
- Inflationary pressures are moderating or stabilizing across most markets, though some pockets of hyperinflation remain where the company must take significant pricing actions

Product Development

- The company is focused on taste superiority across their portfolio, using digital tools, ingredient processing technology and AI to create bolder innovations
- Coca-Cola Zero Sugar showed strong performance with 5% volume growth in 2023
- The company launched reformulations of Sprite and Fanta in 25 markets
- Notable product developments included:
 - Georgia Coffee relaunch in Japan
 - fairlife Core Power in US (15% volume growth)
 - FUZE Tea across Europe

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- Jack and Coke in Philippines
- Flashlight in Mexico
- Innovation contributed to approximately 30% of gross profit growth in 2023, with success rates nearly tripling compared to 2019 levels
- A new product called Coca-Cola Space was launched, targeting Gen Z consumers

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